

Q4 Business Indicators: Demand Firms, Margins Still Lag

#australia



By Pat Bustamante

Senior Economist, Westpac

14:58 March 02 2026

 Share

Private non-farm business inventories declined by 0.1% in the December quarter 2025. This outcome was a touch softer than Westpac Economics' forecast of a flat result in Q4. Profits rose 5.8%qtr in Q4, rising in the mining (8.1%qtr) and non-mining (4.4%qtr: strongest quarterly rise outside of COVID since the December quarter 2016) sectors.

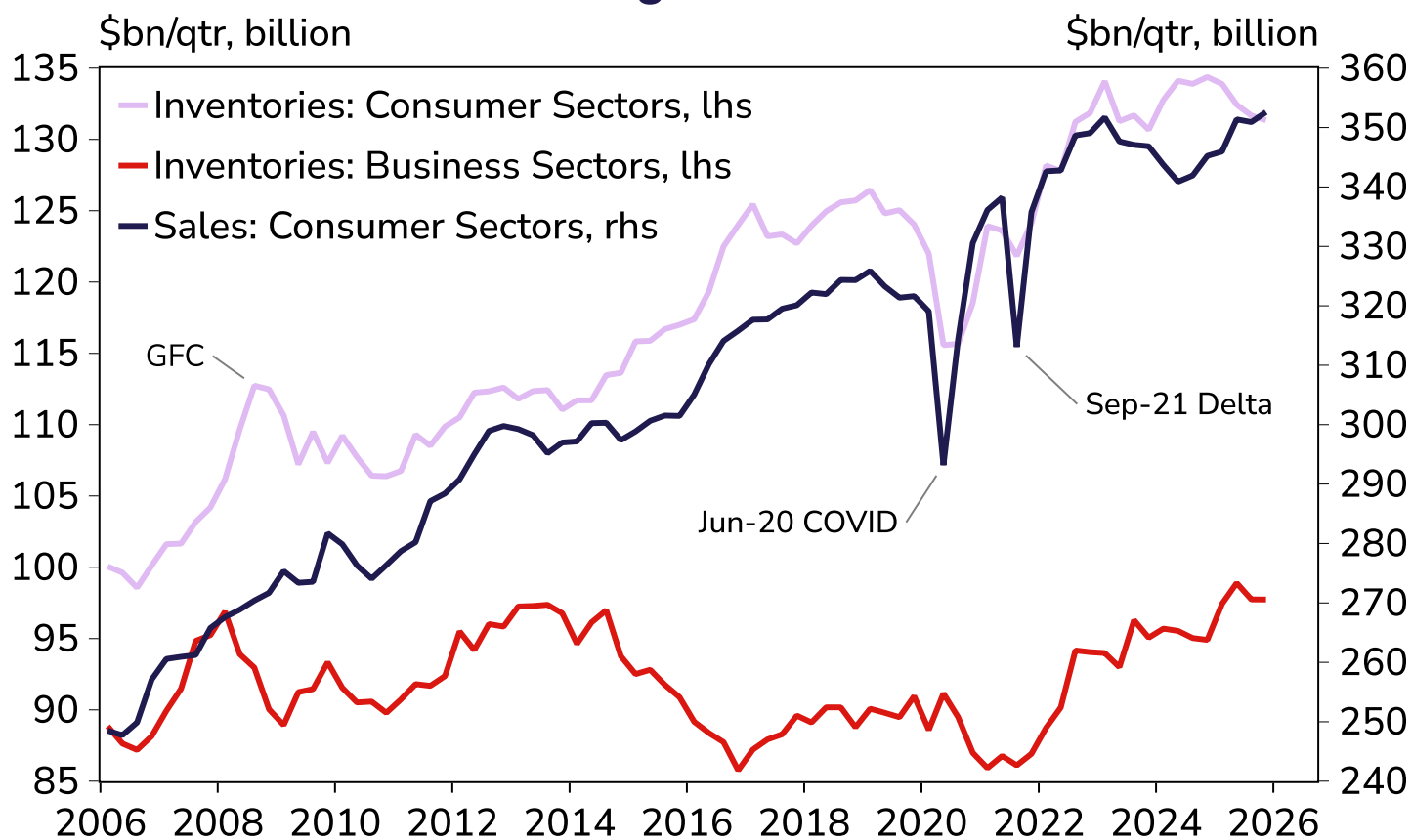


The final pieces of the puzzle for Wednesday's December quarter National Accounts are falling into place. Today's business indicators are consistent with our current forecast for Q4 GDP. We will provide a final estimate after tomorrow's releases on government spending and the external sector.

Private non-farm business inventories declined by 0.1% in the December quarter 2025. This outcome was a touch softer than Westpac Economics' forecast (and the market median expectation) of a flat result in Q4. The net effect is that non-farm private inventories are expected to contribute around 0.2ppts to GDP growth in the December quarter, consistent with our current Q4 GDP forecast.

As expected, the mining industry rebuilt some inventories (0.7%qtr) after the sharp rundown recorded last quarter (-4.7%qtr). Outside of mining, outcomes were mixed. Inventories were run down further in consumer-facing industries, including hospitality (-3.0%qtr) and retail (-0.4%qtr). This is consistent with our view that consumer spending accelerated over the quarter, with the pickup in consumption imports insufficient to fully meet demand. Partly offsetting this, inventories in the utilities industry which increased by 3.7%qtr.

Consumer sector is running down inventories



Source: ABS, Macrobond, Westpac Economics

* consumer sectors: retail, wholesale, hospitality

** business sectors: mining, manufacturing, utilities

Total sales volumes rose 0.6% in the December quarter, with six-month- annualised growth running at around 2.5%. There was a broad-based pickup in sales, which grew in eleven of the 14 industries covered by the release, highlighting the positive demand backdrop.

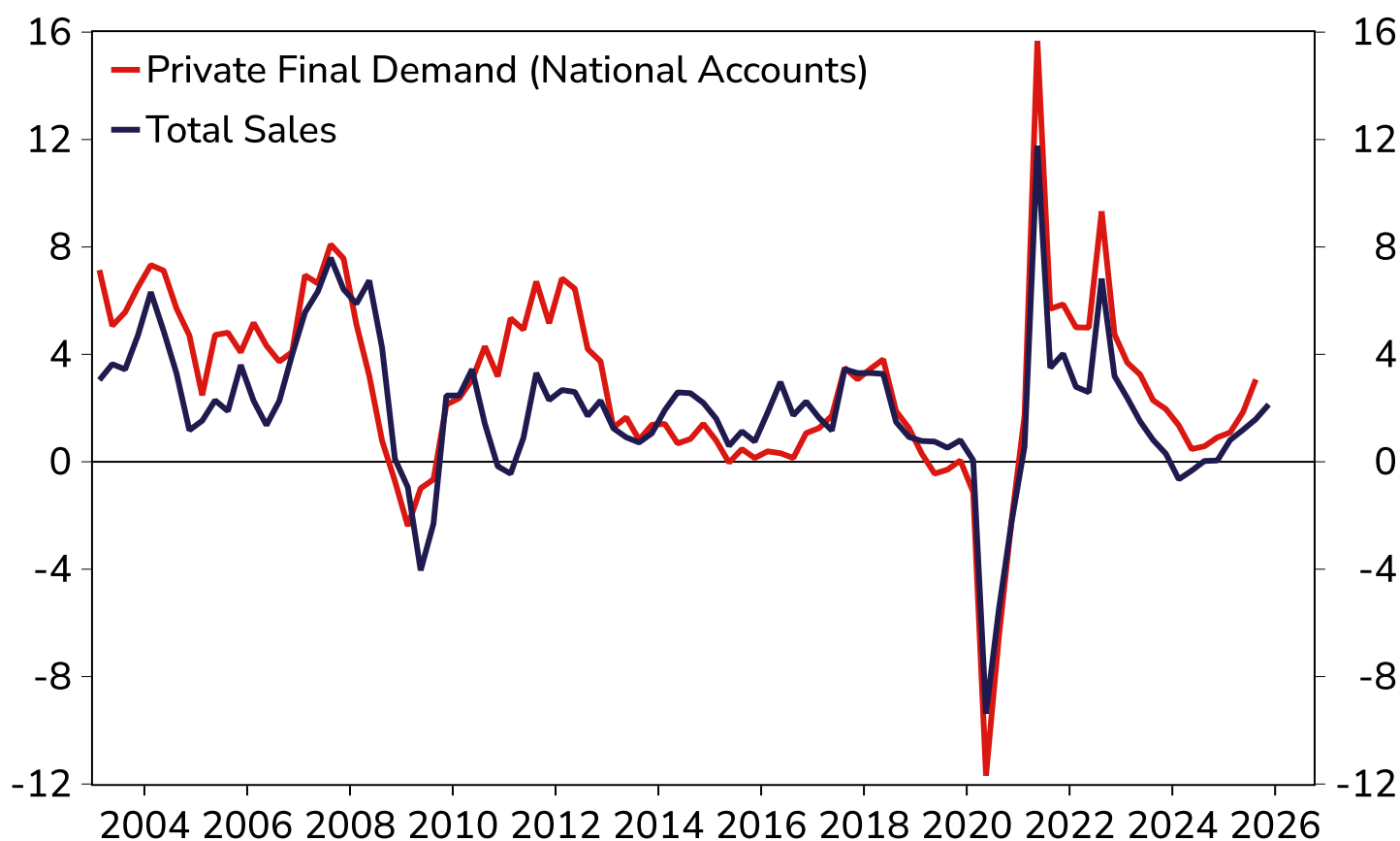
Sales increased in the mining industry (1.2%qtr) and were more mixed across the non--mining sector.

Strong gains were recorded in professional services (2.0%qtr), electricity generation (0.6%qtr), telecommunications (1.2%qtr), and several consumer-facing industries, including hospitality services (0.8%qtr). These gains were partly offset by declines in financial services (-1.8%qtr) and transport services (-0.1%qtr).

In year-ended terms, consumer-facing industries have continued to recover from the lows of a year ago. Growth in arts and recreational services (2.1%yr), accommodation and food services (3.7%yr), other household services (5.5%yr), and retail trade (1.6%yr) have been trending higher, consistent with firmer household demand through 2025.

Sales volumes and private demand

Year-ended % change



Source: ABS, Macrobond, Westpac Economics

Growth in total sales volumes provides only a very general guide to private demand. Today's update suggests that demand was firmer in the December quarter. However, this series is not a reliable quarter-to-quarter indicator of private demand and is not a direct input into the expenditure-side estimates used in the National Accounts.

Headline company gross operating profits rose 5.8%qtr in the December quarter, following weakness earlier in the year. This outcome was stronger than Westpac Economics' forecast for a 1.8%qtr lift in profits and the median market expectation of a 1.9%qtr increase over Q4.

The increase appears to have been broad-based, with profits rising in all but three industries (retail was flat; arts and recreation fell 3.5%qtr after a 6.0% increase in Q3; and administrative support was broadly flat following a 4.7%qtr rebound in Q3). Indeed, the non-mining sector recorded a 4.4%qtr

increase in Q4 — the strongest quarterly rise outside of COVID since the December quarter 2016.

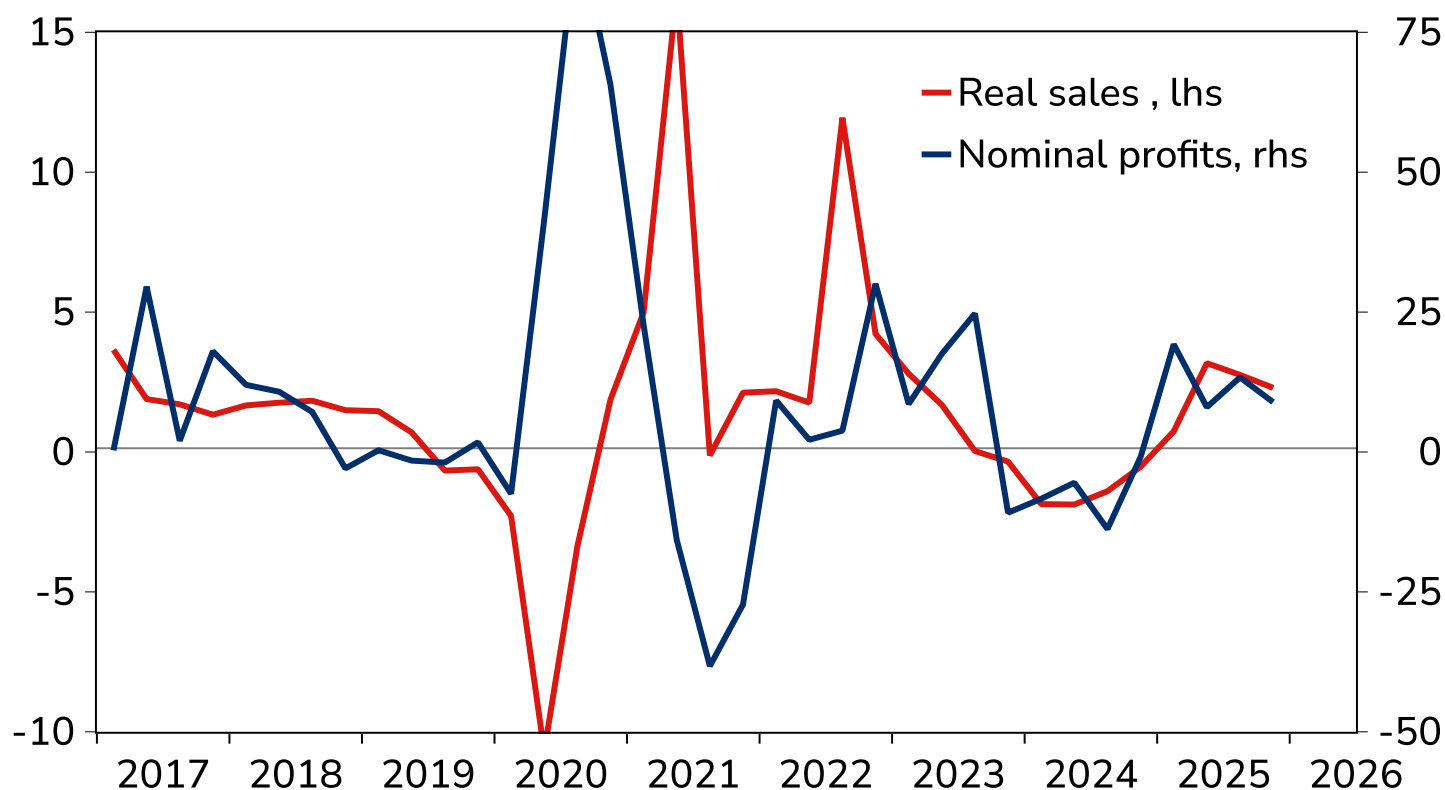
Mining profits increased a solid 8.1%qtr, lifting year--ended growth to 4.6% — the first year-ended increase since the March quarter 2023. Higher commodity prices, particularly gold, are supporting profits in the industry. **Further increases in the prices of key energy commodities following developments over the weekend should help drive additional- gains over coming quarters.** This will also have a material impact on the Federal Budget, due to be released in May.

Outside the mining sector, there were strong gains in other household services (+10.4%qtr), professional services (8.8%qtr), transport services (8.9%qtr), accommodation and food services (6.1%qtr, and almost 15% in year-ended- terms), and construction (4.2%qtr and 3.0%yr). Consistent with this, business profit margins increased across hospitality, utilities, manufacturing, mining and construction over the quarter.

Growth in real (price-adjusted) sales and nominal profits has clearly picked up across consumer--facing- industries since 2024. This quarter also saw sales stabilise and increase across the broader business sector, with both profits and sales in professional services rebounding after falling sharply over the past year and a half.

Consumer sector sales and profits*

Year-ended % change



Source: ABS, Macrobond, Westpac Economics

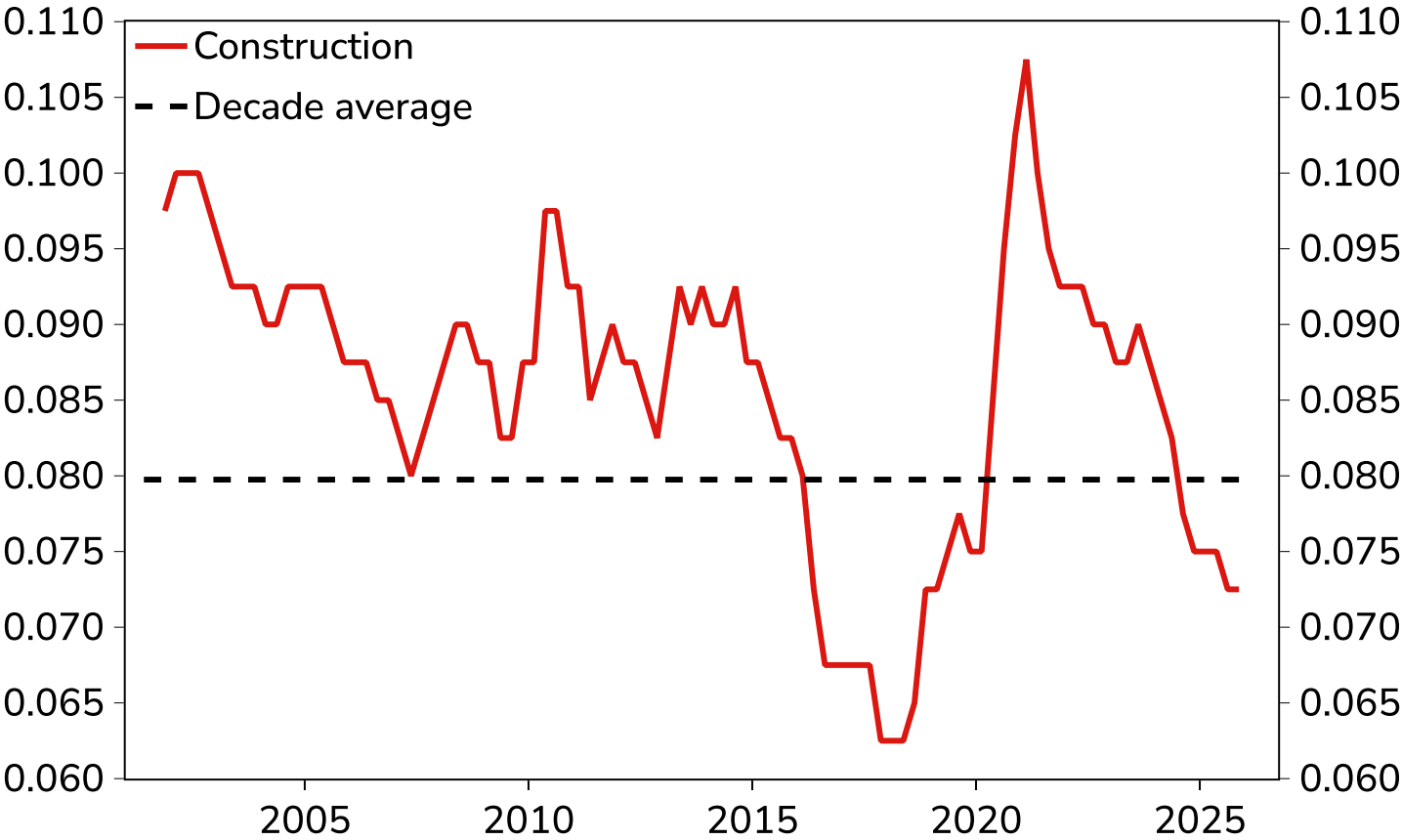
*Includes Retail & Wholesale; Accommodation and food services; Other services; and, Arts and recreational services.

On the ABS' measure (gross operating profits over sales), business margin increases this quarter were confined to wholesale trade (+2ppts), manufacturing (+3ppts), utilities (+2ppts), rental and real estate services (+1ppt), and hospitality (+1ppt).

Despite the recent improvement, margins based on the ABS' measure remain below their ten-year average across several industries, including construction and some other household facing sectors. **With a cyclical upswing now underway, this suggests scope for further margin expansion ahead, which may add to upward pressure on inflation overtime.**

Business margins by industry

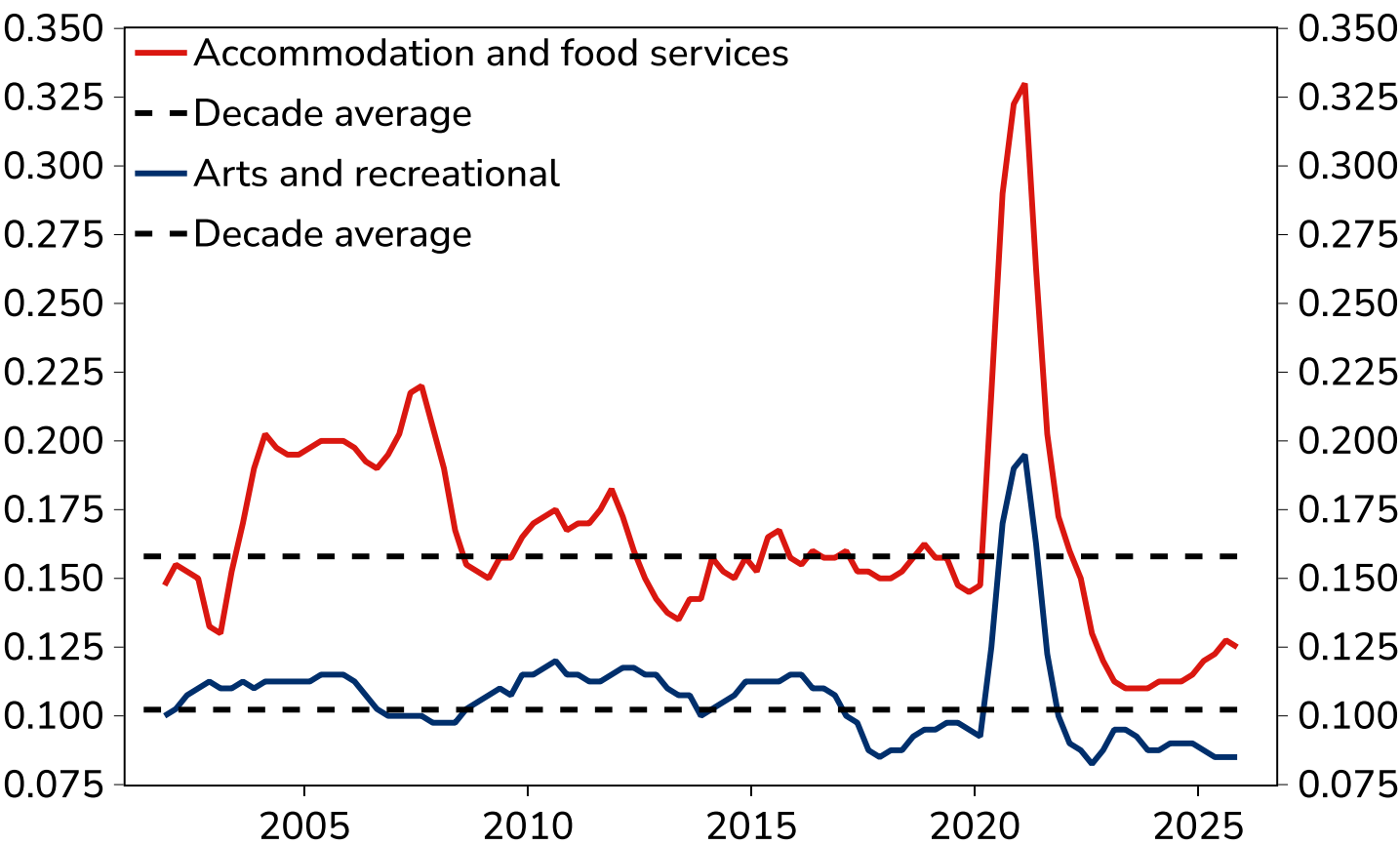
Four quarter moving average



Source: ABS, Macrobond, Westpac Economics

Business margins by industry

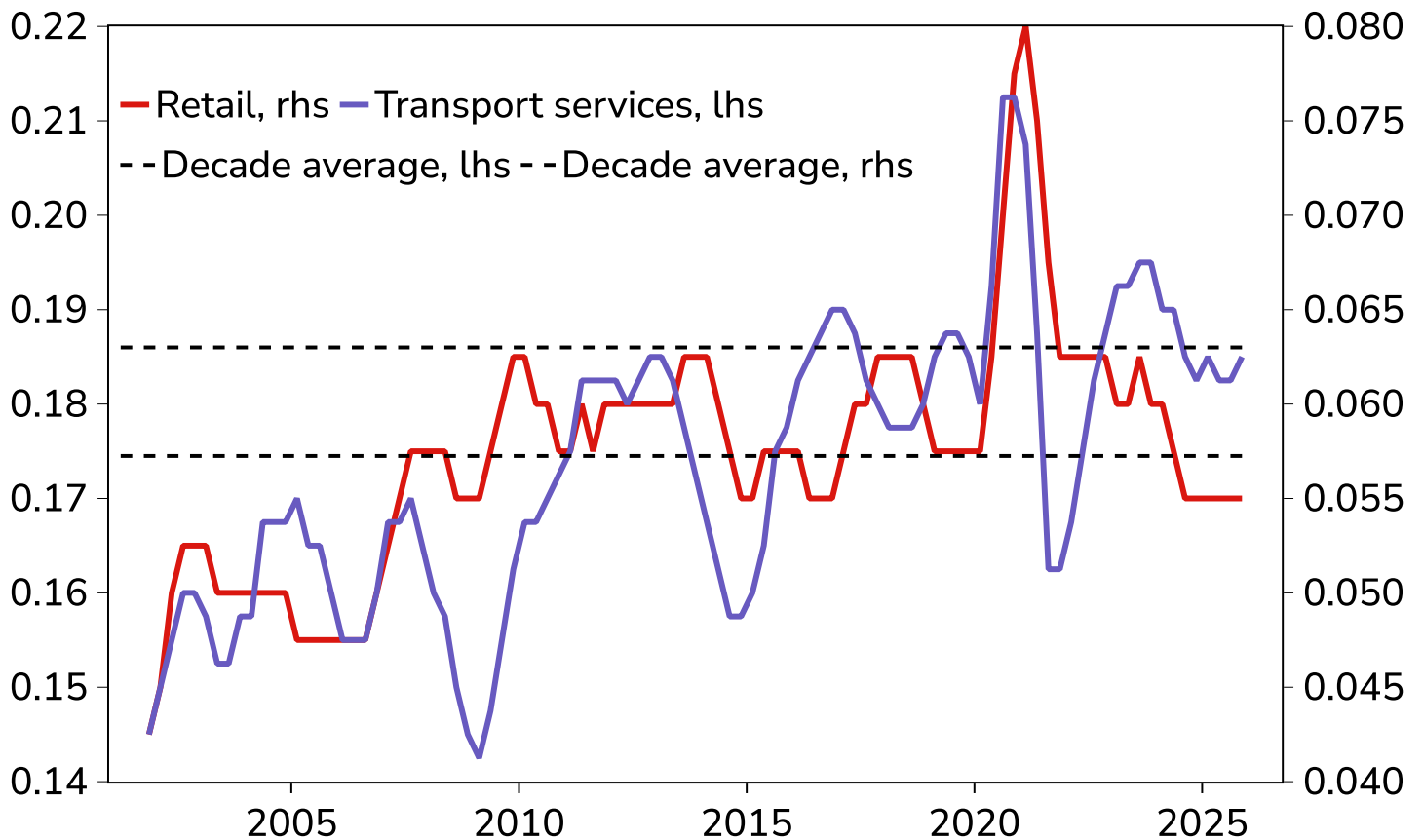
Four quarter moving average



Source: ABS, Macrobond, Westpac Economics

Business margins by industry

Four quarter moving average



Source: ABS, Macrobond, Westpac Economics

As an accounting-based- survey, the Business Indicators data incorporate **Inventories Valuation Adjustment (IVA)** into the profit measure. From an economic perspective, IVA does not represent a true change in underlying profitability. This has been particularly important in recent quarters, with large swings in IVA contributing to volatility in reported profits. In the December quarter, IVA was \$2,223m, which is \$1,335m higher than the September quarter 2025 IVA of \$888m.

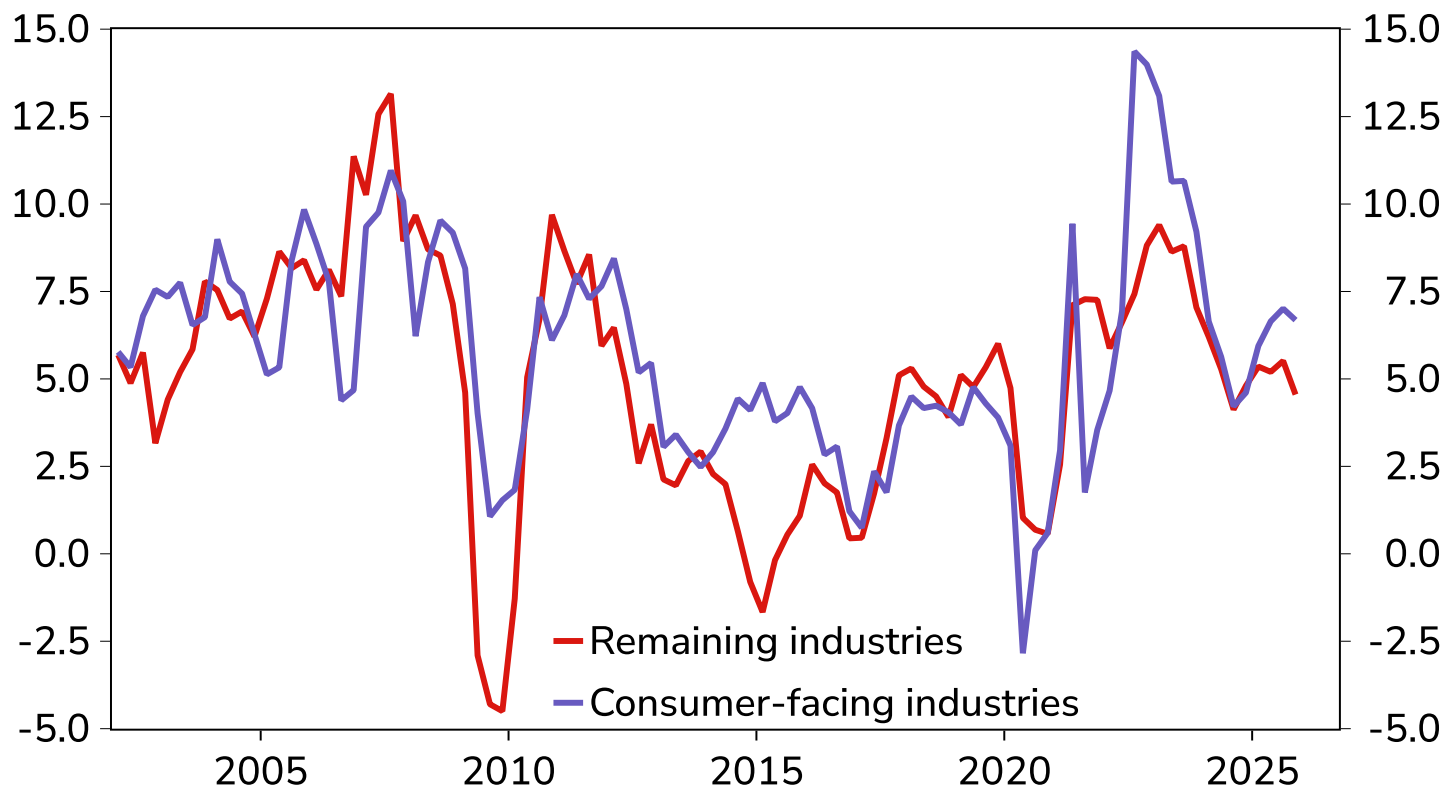
After adjusting for this effect, we estimate that underlying profits still increased a solid 4.8%qtr. It is also worth noting that the ABS applies different seasonal adjustment factors to this series compared with the official measure of gross operating surplus published in the National Accounts.

Nominal wages growth, which measures the total wages bill (that is, hours worked multiplied by wages), rose 0.9% in Q4 2025, lifting year-ended growth to 5.6%. In consumer-facing- industries, wages growth appears to have strengthened further, consistent with firmer demand, with growth of 1.3%qtr and 6.7%yr.

This series provides only a partial read on total employee compensation, however, as wages paid outside the market sector are largely excluded from these set of indicators.

Growth in wage bill moderates slightly

Year-ended % change



Source: ABS, Macrobond, Westpac Economics

*Consumer-facing industries: retail, wholesale, other household services, hospitality, education, healthcare, telecommunications, utilities, construction and arts and recreational.

Stay informed with Westpac IQ

Get the latest reports straight to your inbox.

Subscribe

Related articles



#australia

Australia and NZ Weekly 16 March 2026

March 16 2026 • ⌚ 10 mins

By [Luci Ellis](#), [Matthew Hassan](#), [Elliot Clarke](#) & [11 more](#)

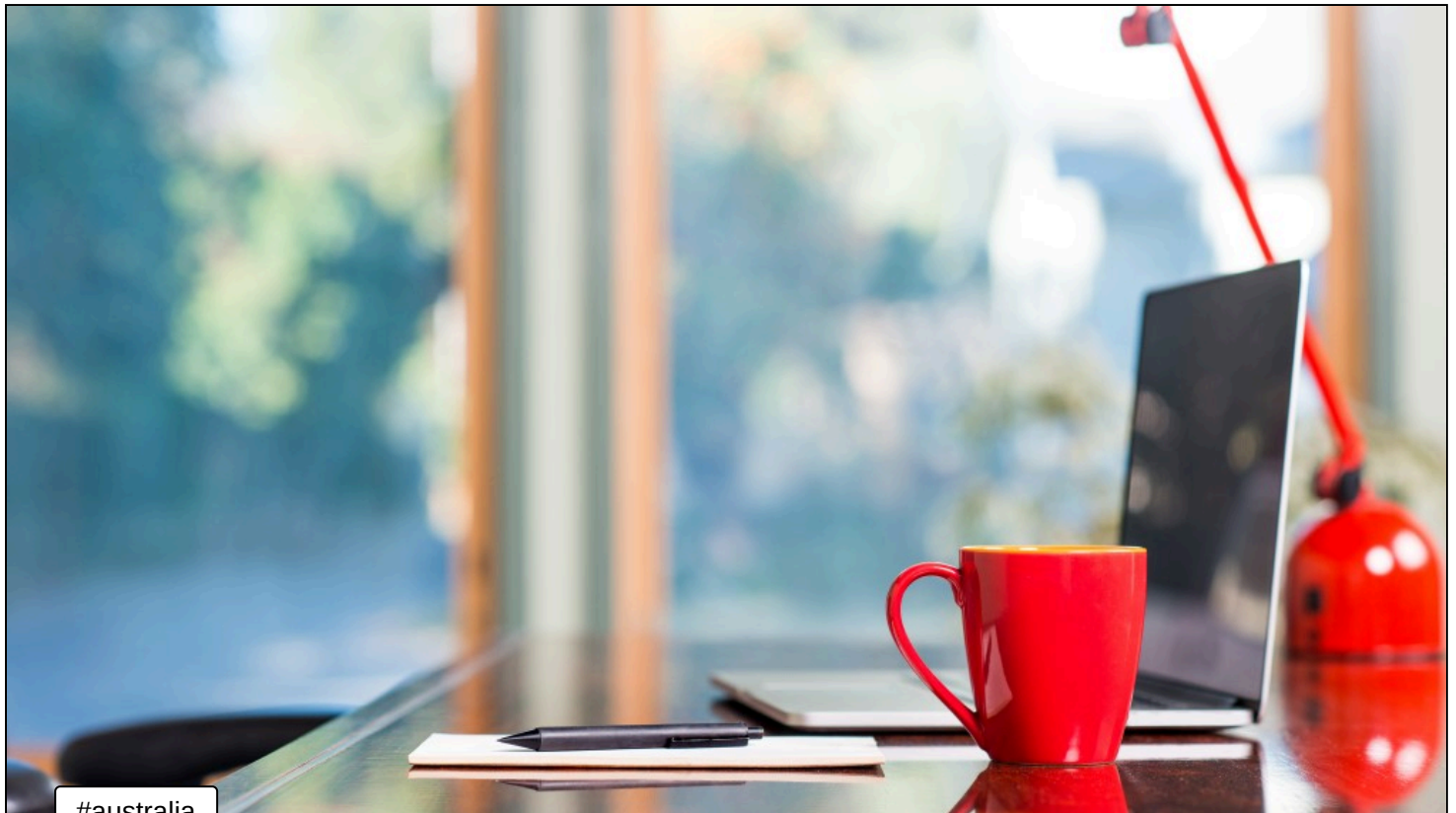


#australia

Australia and NZ Weekly 16 March 2026

March 13 2026 • ⌚ 10 mins

By [Luci Ellis](#), [Matthew Hassan](#), [Elliot Clarke](#) & [11 more](#)



#australia

Australia and NZ Weekly 9 March 2026

March 09 2026 • ⌚ 10 mins

By [Luci Ellis](#), [Matthew Hassan](#), [Elliot Clarke](#) & [10 more](#)

Browse topics

#aud

#interestrates

#usd

#nzd

#australia

#newzealand

#rates

#credit

#acgb

#commodities

#rba

#jpy

#yieldcurve

#abs

#inflation

#ustreasury

- #eur
- #fx
- #ois
- #semigovernment
- Show more tags

Disclaimer

©2026 Westpac Banking Corporation ABN 33 007 457 141 (including where acting under any of its Westpac, St George, Bank of Melbourne or BankSA brands, collectively, “Westpac”). References to the “Westpac Group” are to Westpac and its subsidiaries and includes the directors, employees and representatives of Westpac and its subsidiaries.

Things you should know

We respect your privacy: You can view the [New Zealand Privacy Policy](#) here, or the [Australian Group Privacy Statement](#) here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

This information, unless specifically indicated otherwise, is under copyright of the Westpac Group. None of the material, nor its contents, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party without the prior written permission of the Westpac Group.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide [here](#) or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2) of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found [here](#). Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.